In sum, as you can see from Figure 5.3, inflation doesn't age well. Generic macro economic projections between 2% and 4% don't capture the personal nature of inflation for retirees. In my mind, CPI-ME is a unique risk-label for a very personal adversary that must be constantly battled.

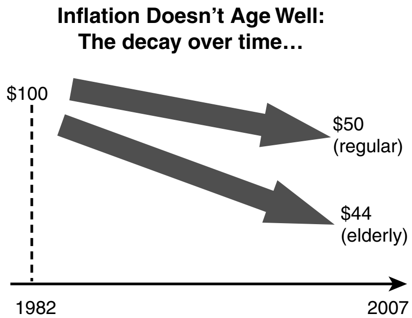

Figure 5.3 Things get even worse.

Source: Moshe Milevsky and the IFID Centre, 2008.

Summary

- True inflation is personal and not an atmospheric phenomenon. Learn to distinguish between your personal cost of living and the population inflation rate.
- The Consumer Price Index, which is the widely cited measure of inflation, is calculated as an average of an average and is meant to give a picture of the economy as a whole and not your personal experiences.
- As you age your inflation rate is likely higher, as measured by the newly created CPI-E for the elderly. The CPI-E has often exceeded the CPI since it has been calculated. Likely, this is because the elderly spend their money on goods and services that tend to appreciate at a higher rate over time.
- Make sure your investments and your retirement income keep up with your personal inflation rate. Although you might need less money during retirement—and that is debatable—I would assume that your required expenses and your personal inflation will increase by 5% to 8% per year.